

Question 1 of 12

Question ID: 1575043

An analyst finds that a particular mutual fund has reported the following annual rates of return:

<u>Year</u>	<u>% Return</u>
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20X1	22
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20X2	-25
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20X3	11
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The fund's geometric mean return over the three-year period is *closest* to:

☐ **A)** -2.7%.

☐ **B)** -0.7%.

☐ **C)** 0.0%.

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Question ID: 1575044

Allan Jabber invested \$400 at the beginning of each of the last 12 months in the shares of a mutual fund that paid no dividends. Which method will he correctly choose to calculate his average price per share from the monthly share prices?

☐ **A)** Arithmetic mean.

☐ **B)** Harmonic mean.

☐ **C)** Geometric mean.

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Question ID: 1575045

The EUR/USD spot exchange rate is 0.70145, and one-year interest rates are 3% in EUR and 2% in USD. The forward USD/EUR exchange rate is *closest* to:

☐ A) 1.1426.

☐ B) 1.4118.

☐ C) 1.4396.

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Question ID: 1575046

An analyst who wants to display the relationship between two variables graphically is *most likely* to use:

☐ **A)** a histogram.

☐ **B)** a scatterplot.

☐ **C)** a frequency polygon.

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Question ID: 1575047

Hamza Abbasi has assembled a portfolio using the following two stocks:

	<u>Stock A</u>	<u>Stock B</u>
Standard deviation	0.12	0.28
Current portfolio weights	0.20	0.80
Expected return	0.08	0.16
Correlation between returns	0.50	

The covariance between the returns on Stock A and Stock B is *closest* to:

☐ A) 0.0168.

☐ B) 0.0657.

☐ C) 0.2143.

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All else being equal, as the correlation between two assets approaches -1.0 , the diversification benefits:

- ☐ **A)** increase.
- ☐ **B)** stay the same.
- ☐ **C)** decrease.

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Question ID: 1575049

If the continuously compounded daily return for Fittizio S.p.A. shares follow a normal distribution, the probability distribution for Fittizio share prices is *most likely* to follow a:

☐ **A)** normal distribution.

☐ **B)** Bernoulli distribution.

☐ **C)** lognormal distribution.

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Question ID: 1575050

The percentage changes in annual earnings for a company are approximately normally distributed with a mean of 5% and a standard deviation of 12%. The probability that the average change in earnings over the next five years will be greater than 15.5% is *closest* to:

☐ A) 2.5%.

☐ B) 5.0%.

☐ C) 10.0%.

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Question ID: 1575051

An analyst wants to construct a hypothesis test to determine whether the mean weekly return on a stock is positive. The null hypothesis for this test should be that the mean return is:

- ☐ **A)** greater than zero.
- ☐ **B)** less than or equal to zero.
- ☐ **C)** greater than or equal to zero.

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Question ID: 1575052

An analyst should use a t -test with $n - 1$ degrees of freedom for a test of:

☐ **A)** mean differences.

☐ **B)** equal variances.

☐ **C)** correlation.

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Question ID: 1575053

A researcher estimates a simple linear regression for two variables using 47 observations. The regression sum of squares is 0.0182 and the sum of squared errors is 0.0375. The coefficient of determination for the regression is *closest* to:

☐ A) 32.7%.

☐ B) 48.5%.

☐ C) 67.5%.

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Question ID: 1575054

Neural networks are an example of:

- ☐ **A)** machine learning.
- ☐ **B)** artificial intelligence.
- ☐ **C)** algorithmic trading applications.